

A MARKET-MICROSTRUCTURE POST-MORTEM · 1955–1956

THE FORBIDDEN VEGETABLE

How two traders cornered 98% of the U.S. onion supply, profited on the collapse they engineered, and triggered the only commodity delisting in American history.

7 U.S.C. § 13-1 · onions: banned 1958, still banned 2026



I TRY NOT TO MAKE FUN OF PEOPLE FOR ADMITTING THEY DON'T KNOW THINGS.

BECAUSE FOR EACH THING "EVERYONE KNOWS" BY THE TIME THEY'RE ADULTS, EVERY DAY THERE ARE, ON AVERAGE, 10,000 PEOPLE IN THE US HEARING ABOUT IT FOR THE FIRST TIME.

FRACTION WHO HAVE HEARD OF IT AT BIRTH $= 0\%$

FRACTION WHO HAVE HEARD OF IT BY 30 $\approx 100\%$

US BIRTH RATE $\approx 4,000,000/\text{year}$

NUMBER HEARING ABOUT IT FOR THE FIRST TIME $\approx 10,000/\text{day}$

IF I MAKE FUN OF PEOPLE, I TRAIN THEM NOT TO TELL ME WHEN THEY HAVE THOSE MOMENTS. AND I MISS OUT ON THE FUN.

"DIET COKE AND MENTOS THING"? WHAT'S THAT?

OH MAN! COME ON, WE'RE GOING TO THE GROCERY STORE. WHY?

YOU'RE ONE OF TODAY'S LUCKY 10,000.





The corner is 2,500 years old

Long before onions, Aristotle credited the philosopher **Thales of Miletus** (c. 624–546 BC) with the first market corner on record — built on nothing but a weather forecast.

01



Forecast

Reading the sky one winter, Thales predicts a bumper olive harvest months ahead of the season.

02



Reserve

For a small sum he deposits on every olive press in Miletus & Chios — cheap, with no rival bidders.

03



Extract

Harvest booms, presses turn suddenly scarce, and he sublets his monopoly at whatever rate he likes.

The instrument: a small deposit for the right — not the obligation — to use the presses is, by tradition, the first option trade. The move is the one Kosuga would run on onions ~2,500 years later: own the chokepoint, name the price.



Long vs. short — and the exploit

A futures contract locks a price today for delivery later. Go **long** and you profit if price rises; go **short** and you profit if it falls.

The exploit: if you also control the physical supply, you can choose which way the price moves — then sit on the side of the trade that pays.



One commodity, delisted by name.

You can write a futures contract on gold, crude, wheat, coffee, cattle, frozen orange juice.
U.S. law carves out a single agricultural exception — by name.



1

commodity banned from
futures trading by name



1958

year the prohibition took effect
— still in force



0

U.S. exchanges that list onion
futures today



\$5,000

max fine; a federal
misdemeanor under § 13-1



Why onions were the perfect target



Perishable → **unstorable**

Onions rot. Limited carry means supply shocks hit price immediately, with no buffer.



Volatile → **speculative magnet**

Big, fast price swings drew speculators — onions became the Merc's most-traded contract.



Thin → **corner-able**

A concentrated, seasonal cash market is exactly the microstructure a corner needs.



Onions were the single most-traded product on the exchange.

Price variations within a crop year for other commodities. The yearly high-low range of midmonth farm prices as a percentage of the average of monthly farm prices was also computed for seven other commodities in which there is futures trading. Averages of the yearly percentages for the entire 26-year period, July 1929 through June 1955, are shown in the following tabulation:

<u>Commodity</u>	<u>Price range as a percentage of average price</u>
Onions	111.3
Potatoes	58.8
Eggs	49.9
Soybeans	37.6
Corn	30.3
Oats	27.9
Wheat	20.4
Cotton	19.6

Source: Price data from U.S.D.A., Agricultural Marketing Service, "Crops and Markets" and "Agricultural Prices."



Two complementary positions, one scheme



Vince Kosuga

The supply · Pine Island, NY

- 5,000-acre black-dirt onion farm
- Active CME trader (wiped out earlier in wheat)
- Controlled the physical hoard



Sam Siegel

The market · Chicago

- Owned a Chicago produce company
- Floor access on the Mercantile Exchange
- Ran the futures side of the book





Four moves to a self-inflicted crash

01



Accumulate

Buy spot onions + futures nationwide until they hold 98% of Chicago supply — ~30M lbs.

02



Coerce

Force ~13 grower-shippers to buy back ~\$168K of stock, under threat of a dump.

03



Flip short

While promising to support prices, quietly build large short futures positions.

04



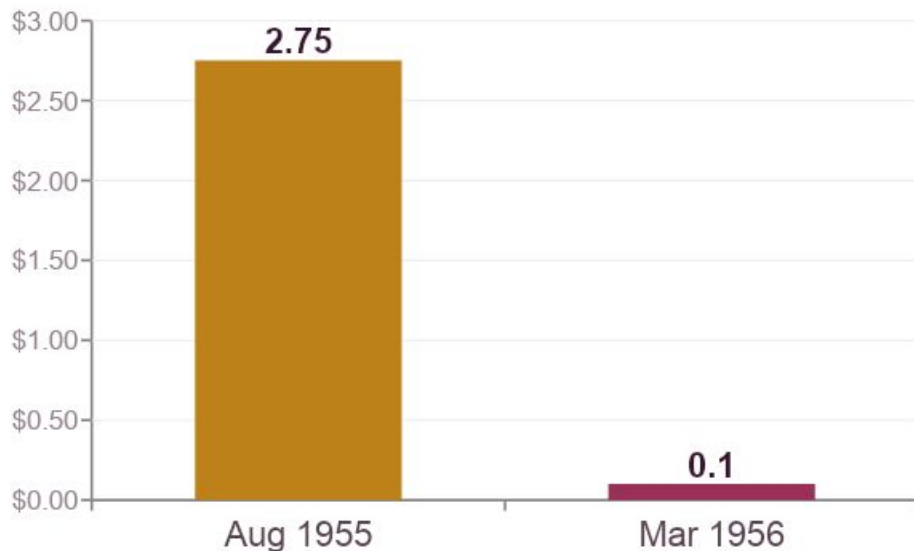
Spoof supply

Ship onions out, repackage, ship back — faking a glut so rivals panic-sell.

Net position: long the physical hoard, short the futures its dump would crater — paid both ways.



March 1956: the engineered collapse



-96%

price decline in ~7 months

\$0.20

cost of the empty mesh bag
— more than the full bag
inside it

30M

pounds dumped on the
Chicago market at once

ONION FUTURES: CLOSING PRICES, OPEN CONTRACTS, AND VOLUME OF TRADING, FUTURES MATURING IN 1955-56 SEASON, CHICAGO MERCANTILE EXCHANGE, DAILY, DECEMBER 2, 1954*-MARCH 16, 1956

DOLLARS PER
50-LB. SACK
3.00

CLOSING PRICES

2.00

1.00

0

NOVEMBER

JANUARY

FEBRUARY

MARCH

THOUSAND
CONTRACTS

8

6

4

2

0

OPEN CONTRACTS

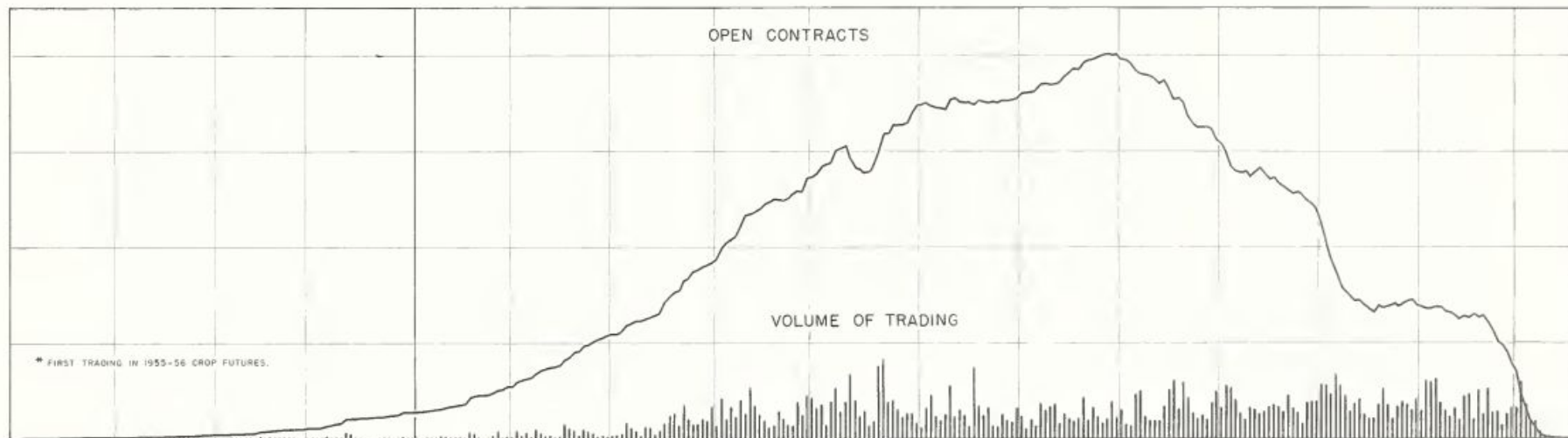
VOLUME OF TRADING

* FIRST TRADING IN 1955-56 CROP FUTURES.

DECEMBER JANUARY FEBRUARY MARCH APRIL MAY JUNE JULY AUGUST SEPTEMBER OCTOBER NOVEMBER DECEMBER JANUARY FEBRUARY MARCH

1954-55

1955-56



RESPONSIBILITY

Onion Flavored Rings

99¢





Who paid for the trade



~\$8.5M operators' profit

≈ \$100M in 2025 dollars (CPI-adjusted).
Earned mostly on the short side.



Many farmer bankruptcies

Growers stuck with worthless stock;
some paid just to dispose of it.



Millions of pounds dumped

Unsellable onions tipped into the Chicago River;
shortages appeared elsewhere.



\$0 penalties at the time

No law was broken. The conduct was legal when it happened.

Kosuga, to Congress: *"If it's against the law to make money... then I'm guilty."*



From complaint to outright delisting



Jun 18, 1956

CEA complaint

Authorities charge Kosuga, Siegel & National Produce with manipulation.



1956–58

Hearings

Congress investigates; Kosuga maintains nothing illegal occurred.



The bill

Ford sponsors

Michigan Rep. Gerald Ford backs a statutory ban on onion futures.



Aug 28, 1958

Signed

Eisenhower enacts § 13-1; onions struck from the legal definition of 'commodity.'

UNINTENDED CONSEQUENCE — THE EXCHANGE

The ban gutted the Merc — so it reinvented itself

Onions were ~20% of CME volume. Losing them was, in the exchange president's words, *“burning down the barn to find a suspected rat.”* The CME sued to overturn the ban — and lost.

1961

Pork bellies

First new flagship contract after onions.

1960s

Live cattle

Expansion into livestock futures.

1970s

Financial futures

Currencies, rates, stock indices — the modern era.

Did the ban actually reduce volatility?

With onions, economists got a rare on/off switch: a commodity with futures, then without. The verdict is genuinely mixed.

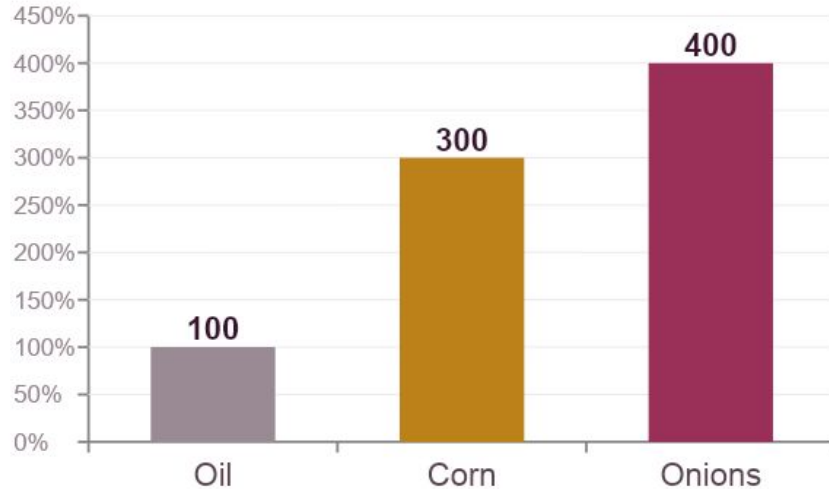
Study	Year	Finding	Implies
Working	1960	Introducing futures (1940s) lowered price volatility	futures help
Gray	1963	Removing futures (the 1958 ban) raised volatility	futures help
Johnson	1973	The futures-free 1960s were the calmest decade on record	ban helps
Jacks	2007	Cross-commodity: futures markets track with lower volatility	futures help

Bottom line: three of four major studies associate futures with **lower** volatility. The ban's core premise is, at best, contested.



More volatile than oil

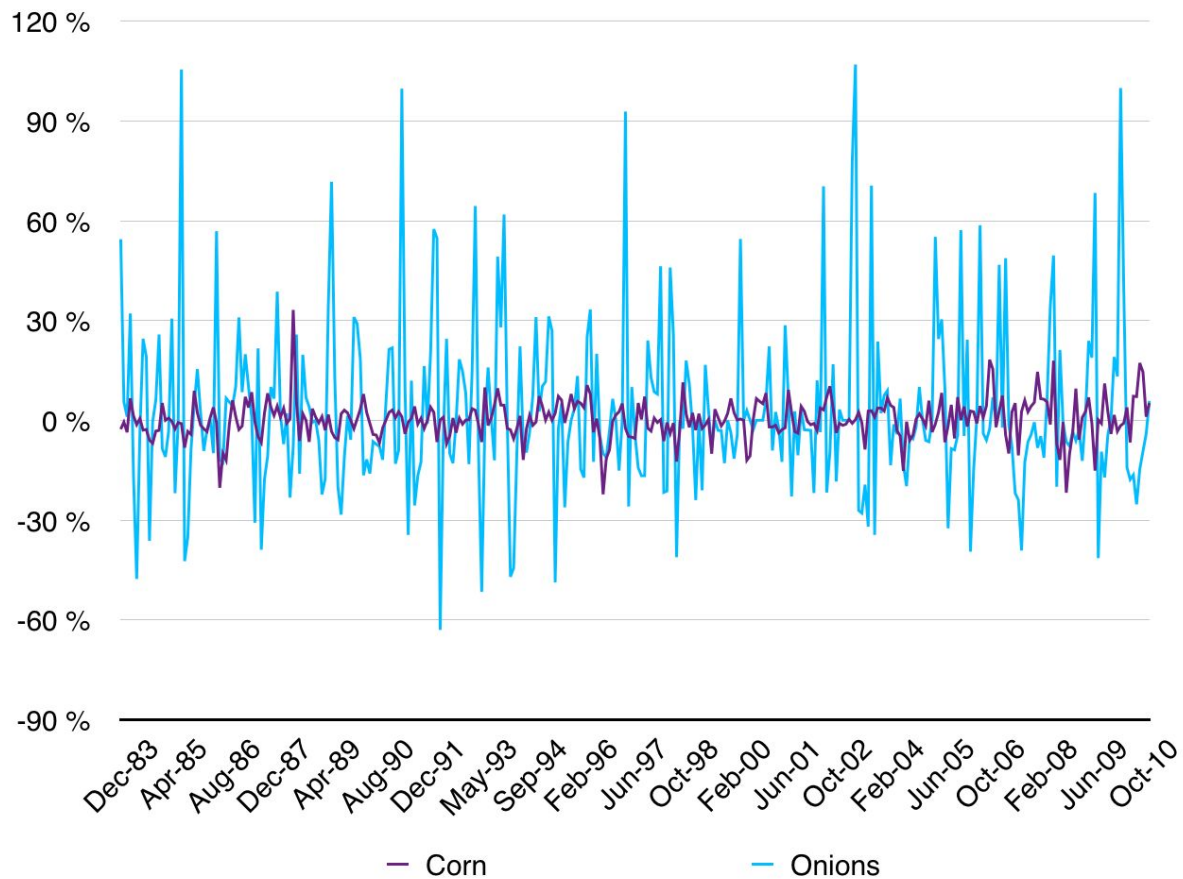
Largest move since 2006



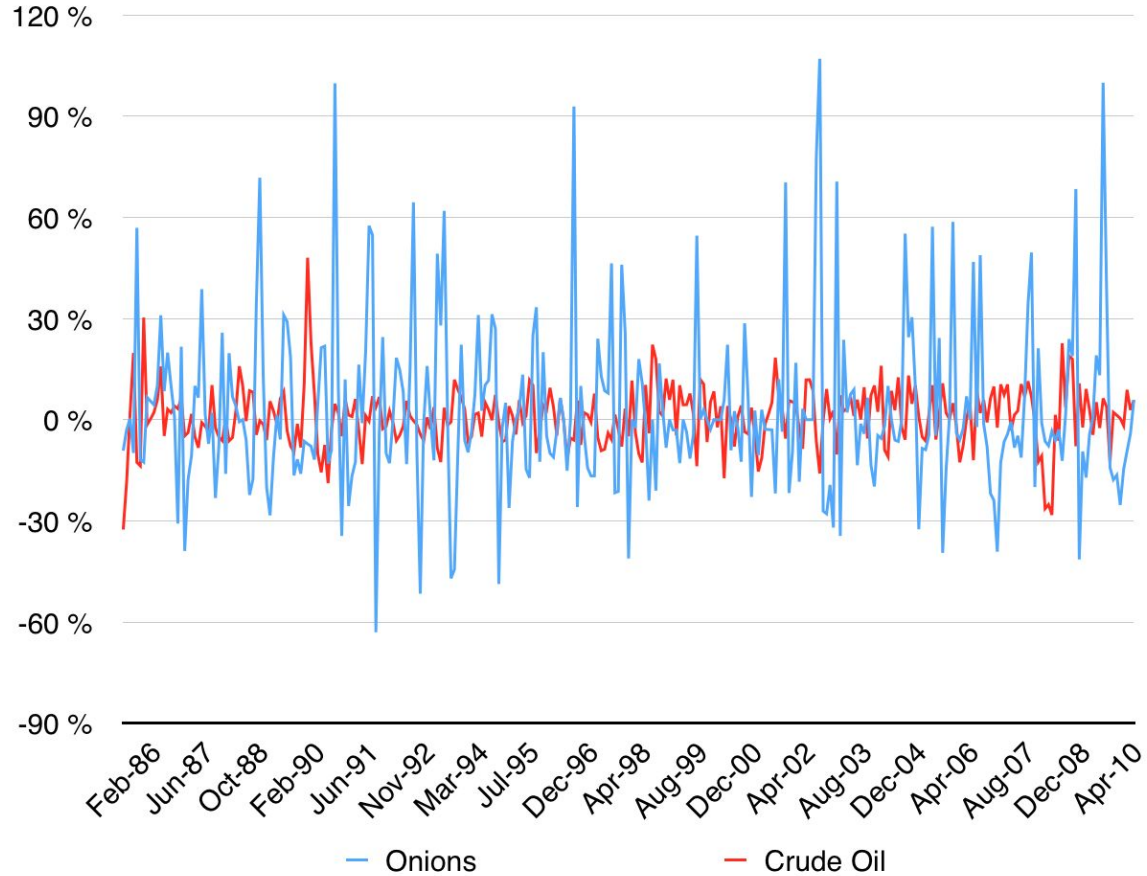
Onion price index (100 = Oct 2006)



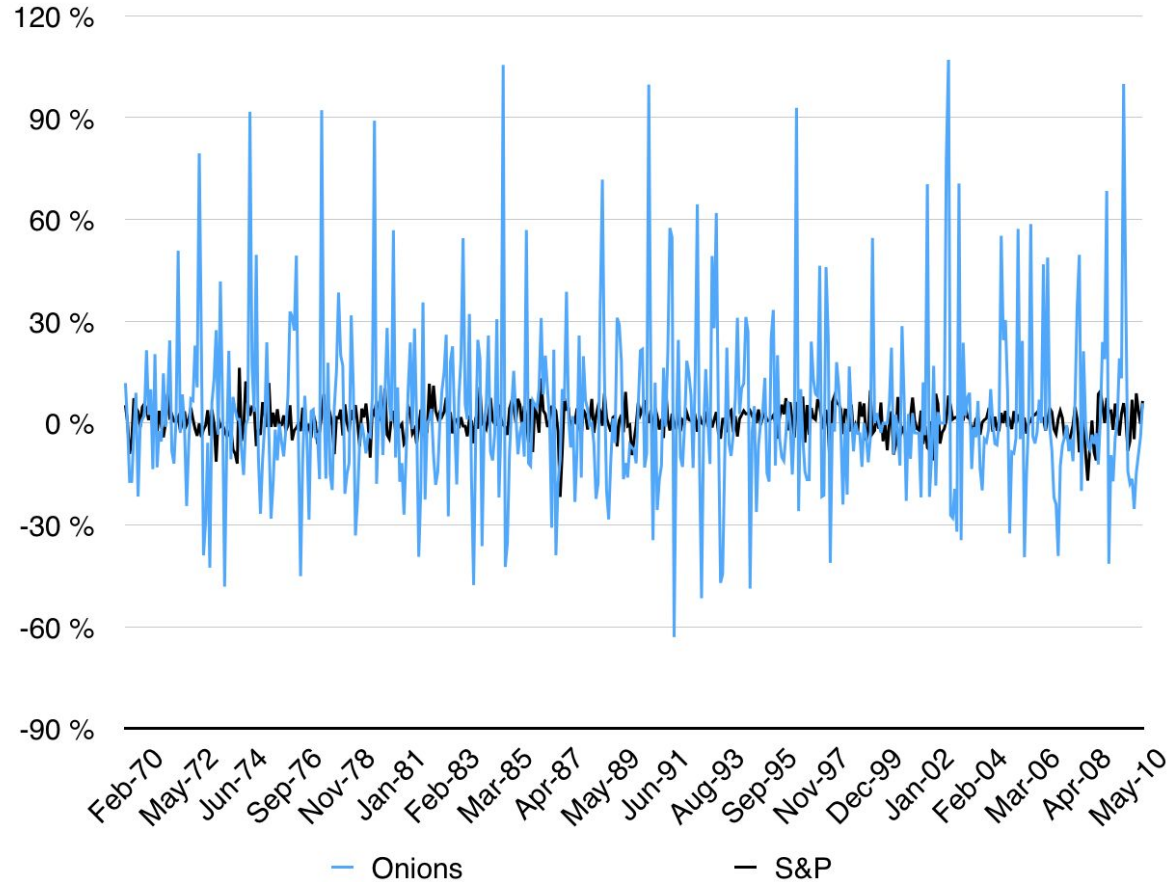
Monthly Variation - Onions vs Corn



Monthly Variation - Onions vs Crude Oil



Monthly Variation - Onions vs S&P 500



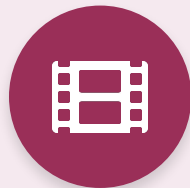
In 2010, § 13-1 got a second defendant

Dodd-Frank amended the same onion statute to ban futures on **motion-picture box-office receipts**. The Cantor Exchange had a contract approved — the MPAA lobbied it dead within days.



Onions

banned 1958



Box office

banned 2010



Why studios feared it

\$138.6M predicted vs **\$135.6M** actual opening for a 2006 tentpole — the markets worked, which is exactly the problem for studios.

What became of the Onion King

No charges stuck. Kosuga kept his fortune and spent the next four decades as an improbable local benefactor.



Three papal audiences

Gave much of his fortune to the Catholic Church; received private audiences with three popes.



Citizen of the Year

Named Pine Island, NY Citizen of the Year in 1987 — villain turned local hero.



The Jolly Onion Inn

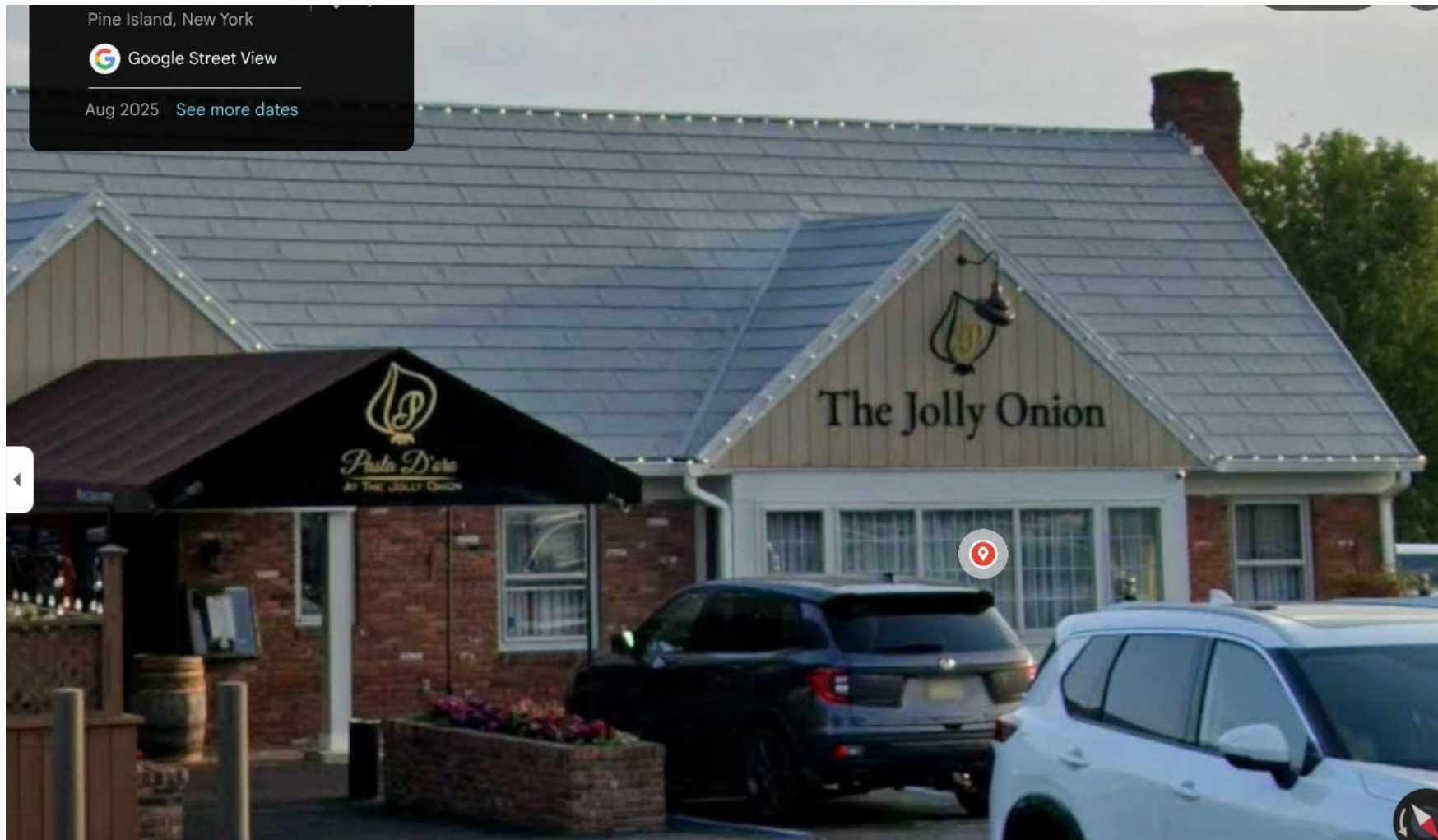
Opened a restaurant and worked as its chef. Died in 2001, an onion man to the end.

Pine Island, New York



Google Street View

Aug 2025 [See more dates](#)



SYNTHESIS

Four things to take away



Perishability + a thin, seasonal cash market = corner-prone microstructure.
The vegetable's biochemical characteristics made it possible.



The conduct was legal; the response — a full statutory delisting — was a blunt instrument never used again.



The natural-experiment evidence leans toward futures dampening volatility.
The ban likely failed at its own goal.



§ 13-1 now covers onions + box office; in 2024 a senator proposed adding water.
The template endures.

Onions remain the only commodity the United States has ever named, and banned, by statute.

